SAGZFX ACADEMY

FOREX TRADING TEACHING GUIDE

Beginner • Intermediate • Advanced • Final Masterclass

Profits Forever

A classroom-ready guide with plain-language explanations, learning outcomes and practical activities for every topic in your syllabus.

Suggested 45–60 minute lesson: 5 minutes recap; 10–15 minutes explanation; 15–20 minutes chart/platform demonstration; 10–15 minutes student practice; 5 minutes recap and assignment.

Instructor rule: Do not teach any setup as a guaranteed signal. Require students to explain evidence, entry trigger, invalidation, position size and no-trade conditions.

BEGINNER LEVEL

Introduction to Forex

Teach it simply: Forex is the market where one currency is exchanged for another. A pair such as EUR/USD compares the euro with the US dollar. Prices respond to supply and demand, interest rates, economic releases and market expectations.

Learning outcome: Students define forex and explain what a rising EUR/USD means.

Practical activity: Use sample currency pairs and ask learners to identify the base and quote currencies.

Currency pairs & market sessions

Teach it simply: Pairs are grouped into majors, minors/crosses and exotics. Main sessions are Sydney, Tokyo, London and New York. Activity and spreads can change by session; London–New York overlap is often active. Session times can shift with daylight saving.

Learning outcome: Students classify pairs and name the four sessions.

Practical activity: Create a session timetable in WAT and note seasonal time changes.

Pips, lots, spreads & leverage

Teach it simply: A pip is a standard price movement (commonly 0.0001 for many non-JPY pairs and 0.01 for JPY pairs). Lot size describes position size. Spread is ask minus bid. Leverage magnifies both profits and losses; margin is collateral, not free money.

Learning outcome: Students define each term and calculate a simple spread.

Practical activity: If bid is 1.1000 and ask is 1.1002, the spread is 2 pips under the standard convention.

Buy/Sell & order types

Teach it simply: A buy generally benefits from rising prices; a sell generally benefits from falling prices. Market orders seek immediate execution, limit orders seek a specified price or better, and stop orders activate at a trigger. Stops may slip in fast markets.

Learning outcome: Students distinguish market, limit and stop orders.

Practical activity: Draw a trade and label entry, stop-loss and take-profit.

Trading platforms (MT4/MT5)

Teach it simply: MetaTrader platforms display charts, indicators, orders and trade history. Teach students Market Watch, chart window, timeframe selector, order ticket, lot size, SL/TP fields and account history. Practise on demo accounts first.

Learning outcome: Students can navigate a chart and place/manage a demo order.

Practical activity: Change timeframe, add a simple indicator, place a demo order and locate trade history.

Candlestick basics

Teach it simply: Each candle shows open, high, low and close. The body spans open to close; wicks show extremes. A bullish candle closes above its open and a bearish candle closes below. One candle alone does not guarantee a reversal.

Learning outcome: Students label OHLC and describe bullish/bearish candles.

Practical activity: Show three candles and ask learners to describe what happened, not predict with certainty.

Support & Resistance

Teach it simply: Support is an area where falling price has previously paused or rebounded; resistance is an area where rising price has stalled. Treat them as zones, not exact lines. They can fail or change roles.

Learning outcome: Students mark zones and explain why a zone may break.

Practical activity: Mark two support and two resistance zones on a historical chart.

Trendlines & market direction

Teach it simply: An uptrend often forms higher highs and higher lows; a downtrend forms lower highs and lower lows. A range moves between boundaries. Trendlines connect swing points but are subjective and should not be used alone.

Learning outcome: Students classify uptrend, downtrend and range.

Practical activity: Give three charts and ask students to justify their classification.

Stop Loss & Take Profit

Teach it simply: A stop-loss marks the planned exit if the idea is invalidated or risk boundary is reached. A take-profit is a planned exit at a target. Do not move a stop farther away just to avoid a loss; stop execution can slip.

Learning outcome: Students justify their SL and TP levels.

Practical activity: Plan entry, SL and TP for a hypothetical setup and explain each level.

Basic Risk Management

Teach it simply: Decide the affordable loss before entering. Position size depends on account equity, risk amount, stop distance and broker contract specifications. A stop distance alone does not tell you the cash risk without position size.

Learning outcome: Students calculate planned cash risk and explain position size.

Practical activity: On a hypothetical $1,000 account, 1% planned risk is $10 before costs.

Trading Psychology

Teach it simply: Fear, greed, FOMO, overconfidence and revenge trading can cause rule-breaking. Use a checklist and journal. Judge process as well as outcome: a good trade can lose and a poor trade can win.

Learning outcome: Students identify emotional traps and write personal rules.

Practical activity: Write a plan for what to do after two consecutive losses.

How to read a simple chart

Teach it simply: Check the instrument and timeframe; identify recent swing highs/lows, trend or range, key zones and nearby news risk. Describe what price is doing before searching for an entry. Include a no-trade scenario.

Learning outcome: Students describe a chart in clear, neutral language.

Practical activity: Use this sequence: context → structure → levels → scenarios → no-trade condition.

INTERMEDIATE LEVEL

Market Structure

Teach it simply: Market structure is the sequence of meaningful swing highs and lows. It helps describe trends, ranges and possible transitions. Different timeframes can show different structures, so define the timeframe first.

Learning outcome: Students label swings and classify the market.

Practical activity: Mark the last five clear swings on a chart.

Higher Highs, Higher Lows, LH & LL

Teach it simply: Higher highs (HH) and higher lows (HL) commonly describe an uptrend. Lower highs (LH) and lower lows (LL) commonly describe a downtrend. One swing alone does not prove a trend.

Learning outcome: Students label HH, HL, LH and LL.

Practical activity: Complete a swing diagram and explain where the structure becomes unclear.

Break of Structure (BOS)

Teach it simply: BOS describes price breaking a meaningful prior swing level. The class should define whether it requires a candle close or whether a wick break counts. Breaks can fail; specify invalidation.

Learning outcome: Students identify the swing broken and state the BOS rule.

Practical activity: Find one successful and one failed break on historical charts.

Change of Character (CHOCH)

Teach it simply: CHOCH is used by some traders to describe an early sign of changed price behaviour, such as breaking a swing against the prior short-term trend. Definitions vary; it is a warning to reassess, not proof of reversal.

Learning outcome: Students distinguish a possible shift from a confirmed trend change.

Practical activity: Compare a true shift with a false break.

Supply & Demand

Teach it simply: Supply zones are areas where strong selling previously emerged; demand zones are where strong buying emerged. A zone is a hypothesis, not a guaranteed turning point. Consider departure strength, freshness, context and invalidation.

Learning outcome: Students identify a zone and explain its evidence.

Practical activity: Mark one supply and one demand zone and define invalidation.

Liquidity & liquidity sweeps

Teach it simply: Liquidity is the ability to transact without excessive price impact. Obvious highs/lows and equal highs/lows may attract orders. A sweep moves beyond a watched level and reacts; not every sweep reverses, so the label is not an entry signal by itself.

Learning outcome: Students identify watched levels and define confirmation.

Practical activity: Mark the level, the move beyond it and the following reaction.

Fair Value Gaps (FVG)

Teach it simply: In common three-candle SMC terminology, a bullish FVG is the space between candle one's high and candle three's low after upward displacement; bearish is the opposite. It is a chart-defined imbalance area, not proof of institutional orders. It may or may not fill.

Learning outcome: Students mark bullish and bearish FVG boundaries.

Practical activity: Find examples and record how price behaved after formation.

Order Blocks

Teach it simply: In many SMC methods, an order block is a candle/base before a strong move that breaks structure. Definitions vary; a chart cannot reveal exactly who placed orders. Use consistent criteria and invalidation.

Learning outcome: Students define an order block by the academy's rules.

Practical activity: Compare two candidate zones and justify which better fits the criteria.

Premium & Discount

Teach it simply: Choose a meaningful swing range and mark its midpoint (equilibrium). The upper half is called premium and the lower half discount in many SMC methods. These are relative to the chosen range, not proof that price is objectively expensive or cheap.

Learning outcome: Students mark a range and calculate its midpoint.

Practical activity: Label premium, equilibrium and discount on a chart.

Multi-Timeframe Analysis

Teach it simply: Use a higher timeframe for context, a middle timeframe for the setup area and a lower timeframe for a defined trigger. Decide each timeframe's job in advance. If timeframes conflict, waiting may be better than forcing a trade.

Learning outcome: Students prepare a three-timeframe plan.

Practical activity: Record context, setup zone, trigger and no-trade conditions.

Entry Models

Teach it simply: An entry model is a repeatable combination of location, trigger and invalidation. Examples can combine a zone with a structure break or rejection. Write exact rules rather than relying on 'it looks good.'

Learning outcome: Students write setup, trigger and no-trade rules.

Practical activity: Turn a chart idea into a checklist and test it on past charts.

Risk-to-Reward

Teach it simply: Risk-to-reward compares planned loss with planned gain. If risk is 20 pips and target is 40 pips, the planned ratio is 1:2 before costs. A good ratio alone does not guarantee profitability; win rate and costs matter.

Learning outcome: Students calculate R:R for sample trades.

Practical activity: Calculate ratios for three hypothetical setups.

Trade Management

Teach it simply: Predefine rules for partial exits, trailing stops, moving to breakeven and invalidation. These actions are not automatically safer; they change results and should be tested. Avoid improvising under pressure.

Learning outcome: Students describe their after-entry rules.

Practical activity: Build a flowchart for a winning and losing trade.

Trading Journal & Backtesting

Teach it simply: A journal records setup, entry, stop, target, risk, result, screenshot and rule adherence. Backtesting applies fixed rules to historical charts without hindsight changes. Include costs and test unseen examples where possible.

Learning outcome: Students complete a journal and explain backtest rules.

Practical activity: Test a simple rule set on 20 historical examples and record all results.

Fundamental Analysis

Teach it simply: Study inflation, employment, growth, interest rates and central-bank guidance. Markets react to results relative to expectations and future guidance, not simply whether a number is 'good' or 'bad.'

Learning outcome: Students explain forecast versus actual and possible reaction.

Practical activity: Review a past economic release and compare forecast, actual and price response.

News & Economic Calendar

Teach it simply: Calendars show event times, forecasts and previous readings. Verify the timezone. Spreads and slippage may widen around major events and reactions can be two-way. Define whether the strategy avoids or trades news.

Learning outcome: Students read event details and plan around news.

Practical activity: Build a sample trading-day calendar in WAT.

ADVANCED LEVEL

Advanced Market Structure

Teach it simply: Study major and minor swings, internal and external structure, ranges and transitions. Define swings consistently and identify which level invalidates the current thesis.

Learning outcome: Students distinguish major from minor swings.

Practical activity: Annotate major swings, internal swings and invalidation.

Institutional Order Flow

Teach it simply: Order flow is how buying and selling orders interact with available liquidity. Candlestick charts do not reveal the identity or intentions of institutions. Separate observable evidence from assumptions.

Learning outcome: Students explain what chart data can and cannot prove.

Practical activity: Label observations separately from interpretations.

Smart Money Concepts (SMC)

Teach it simply: SMC is a family of price-action methods using concepts such as structure, liquidity, order blocks, imbalances and premium/discount. Definitions vary. Treat it as a hypothesis framework to test, not a guarantee of profit.

Learning outcome: Students connect concepts using consistent definitions.

Practical activity: Present one setup with evidence, alternatives and invalidation.

Liquidity Engineering

Teach it simply: Some traders use this term for price patterns around obvious levels before a sharp move. A chart alone cannot prove deliberate manipulation. Focus on the level, reaction and a testable plan.

Learning outcome: Students distinguish evidence from speculation.

Practical activity: Rewrite a speculative claim as a neutral hypothesis.

Inducement

Teach it simply: In some SMC methods, inducement describes a minor swing or setup that attracts entries before price moves toward a more significant level. It can be a hindsight story unless rules are defined in advance.

Learning outcome: Students define inducement by explicit criteria.

Practical activity: Compare examples that worked and failed.

Displacement

Teach it simply: Displacement is a forceful directional move, often with large candles and limited overlap, that may break a meaningful level. Define objective criteria relative to recent price action.

Learning outcome: Students identify displacement consistently.

Practical activity: Compare strong moves using the same rule.

Mitigation & Re-entries

Teach it simply: Mitigation often means price revisiting a previously marked zone. A revisit does not guarantee the zone holds. Each re-entry needs a fresh trigger and new risk calculation; never increase risk simply to recover a loss.

Learning outcome: Students define one permitted re-entry and its invalidation.

Practical activity: Write rules for re-entry and when it is forbidden.

Advanced Order Blocks

Teach it simply: Refine order-block selection by defining the base candle, displacement, broken structure, zone boundaries and invalidation. Repeated tests and higher-timeframe context matter. Do not claim the chart proves bank orders.

Learning outcome: Students apply a consistent zone-scoring rubric.

Practical activity: Rank candidate zones against the class criteria.

FVG + Liquidity Confluence

Teach it simply: Confluence combines predefined factors, such as a liquidity event, displacement, structure break and FVG. More labels do not automatically mean better odds; test the full combination and define essential versus optional conditions.

Learning outcome: Students create a testable confluence checklist.

Practical activity: Backtest one confluence model and record losing examples too.

Session & Kill-Zone Analysis

Teach it simply: Some methods focus on selected London or New York windows called kill zones. These are strategy-specific time windows, not guaranteed reversal times. Define exact WAT hours and account for daylight-saving changes.

Learning outcome: Students define and test session windows.

Practical activity: Compare examples inside and outside the chosen window.

Advanced Multi-Timeframe Setups

Teach it simply: Combine higher-timeframe context, middle-timeframe location and lower-timeframe trigger. Define a hierarchy for conflicting signals and decide which level invalidates the idea.

Learning outcome: Students build a complete top-down plan.

Practical activity: Present a three-timeframe case study.

Correlation Analysis

Teach it simply: Correlation describes how two price series have moved together over a selected period; it does not prove causation and can change. Different pairs may share currency exposure, creating concentrated risk.

Learning outcome: Students identify overlapping exposures.

Practical activity: Compare two instruments over the same lookback.

Advanced Risk Management

Teach it simply: Manage per-trade risk, daily/weekly loss limits, drawdown, correlated positions, volatility and gap risk. Set limits before trading and reduce exposure or pause when conditions exceed tested assumptions.

Learning outcome: Students create a portfolio-level risk policy.

Practical activity: Set daily stop, weekly stop and drawdown response rules.

Building a Profitable Trading System

Teach it simply: No strategy is guaranteed profitable. Define market, setup, trigger, exit, sizing and no-trade rules. Evaluate expectancy, win rate, average win/loss, drawdown and costs over a meaningful sample.

Learning outcome: Students write objective system rules and evaluation measures.

Practical activity: Create a one-page system specification.

Strategy Backtesting & Optimization

Teach it simply: Backtest fixed rules without look-ahead bias or cherry-picking. Optimization can overfit history. Separate development from out-of-sample validation, include costs and forward-test on demo.

Learning outcome: Students identify testing bias and validation steps.

Practical activity: Compare a strategy on development data and unseen data.

Trading Psychology at Professional Level

Teach it simply: Professional discipline means following the process despite uncertainty, using routines and pausing when emotional. Measure rule adherence and review quality, not only profit/loss.

Learning outcome: Students create pre-session and post-session routines.

Practical activity: Build a weekly process-focused review.

Prop-Firm Risk Management

Teach it simply: Evaluation firms may set daily loss, maximum or trailing drawdown, news and holding rules. Rules differ and change; always read the provider's current official terms and account for floating losses and costs.

Learning outcome: Students calculate remaining risk budget under a sample rule set.

Practical activity: Apply a hypothetical firm's loss limits to sample trades.

Advanced Trade Execution

Teach it simply: Execution quality includes spread, commission, slippage, order type, liquidity and platform reliability. Analysis can be sound yet results poor if costs are ignored. Stops do not guarantee exact prices.

Learning outcome: Students compare planned price with actual fill.

Practical activity: Calculate slippage in pips and money for a sample trade.

Creating a Personal Trading Plan

Teach it simply: Document instruments, sessions, setup, risk limits, news rules, execution checklist, journaling and review. Include when not to trade and when to pause.

Learning outcome: Students produce a complete written plan.

Practical activity: Peer-review plans for clarity and testability.

Becoming a Consistent/Professional Trader

Teach it simply: Consistency means applying a defined process over time, not winning every trade or earning a fixed daily amount. Develop through study, demo practice, testing, honest journaling and gradual evaluation.

Learning outcome: Students set measurable process goals.

Practical activity: Create a 30-day learning and review plan.

FINAL MASTERCLASS

Putting Everything Together

Teach it simply: A complete trade plan joins context, structure, location, trigger, invalidation, size, management and review. Every part must be written before entry; missing conditions may mean no trade.

Learning outcome: Students explain every decision in a full trade plan.

Practical activity: Present a complete setup without placing a live trade.

Top-down analysis

Teach it simply: Use a higher timeframe for broad context, a middle timeframe for the setup zone and a lower timeframe for a defined trigger. Record conflicts instead of switching timeframes until a preferred answer appears.

Learning outcome: Students analyse three timeframes.

Practical activity: Complete a top-down worksheet.

Market bias

Teach it simply: Bias is conditional, not certainty. Describe bullish, bearish and neutral possibilities and state what evidence supports or invalidates each scenario.

Learning outcome: Students write a conditional bias and alternative scenario.

Practical activity: Give a short market briefing based on evidence.

Liquidity identification

Teach it simply: Mark obvious swing highs/lows, equal highs/lows and range edges. These may attract attention but are not guaranteed targets. Define the reaction required before considering a trade.

Learning outcome: Students mark levels and separate them from signals.

Practical activity: Annotate three liquidity reference areas.

Entry confirmation

Teach it simply: Define confirmation in advance, such as a candle close beyond a swing or a displacement followed by a retracement. Never change the trigger rule after seeing the outcome.

Learning outcome: Students apply exact trigger criteria.

Practical activity: Use a checklist on three historical examples.

SL placement

Teach it simply: Place the stop at setup invalidation or by a tested rule, then size the position to fit the risk budget. Do not choose position size first and force the stop into an illogical place.

Learning outcome: Students justify stop placement and calculate risk.

Practical activity: Compare two stop placements and their required sizes.

TP targeting

Teach it simply: Targets may use prior swings, range boundaries, a planned R multiple or another tested exit rule. Consider obstacles and whether the reward justifies the risk. A target is a plan, not a promise.

Learning outcome: Students justify a target and calculate planned R.

Practical activity: Set targets for two hypothetical trades.

Risk calculation

Teach it simply: Cash risk is often account equity multiplied by the chosen risk percentage. Position size also depends on stop distance, pip/point value, contract size, currency conversion and costs. Verify broker specifications.

Learning outcome: Students calculate cash risk and explain the sizing inputs.

Practical activity: Example: $2,000 × 0.5% = $10 planned risk before costs.

Trade management

Teach it simply: Follow written rules for partial exits, trailing stops and invalidation. Do not widen risk impulsively or invent new rules under pressure.

Learning outcome: Students apply a management plan.

Practical activity: Role-play a trade reaching target, returning to entry and hitting stop.

Journaling

Teach it simply: Record context, setup, entry, stop, target, size, risk, result, costs, screenshot and emotional state. Grade process separately from outcome.

Learning outcome: Students complete a journal and identify a lesson.

Practical activity: Fill a sample journal and score rule adherence.

Reviewing and improving the strategy

Teach it simply: Review a meaningful sample for expectancy, average win/loss, drawdown, costs, session performance and rule adherence. Change one variable at a time and validate on unseen data.

Learning outcome: Students choose one testable improvement.

Practical activity: Prepare a monthly review with one strength, weakness and experiment.

STUDENT PRACTICE WORKSHEET

Complete this before calling a trade idea ready.

Instrument/date: _____

Higher-timeframe context: _____

Market structure: _____

Key levels/liquidity areas: _____

Setup conditions: _____

Entry confirmation: _____

Stop-loss and invalidation reason: _____

Take-profit rationale: _____

Account equity: _____

Risk percentage and cash amount: _____

Position-size calculation and broker contract value: _____

News/session considerations: _____

No-trade conditions: _____

Post-trade result and lesson: _____

STUDENT ASSESSMENT CHECKLIST

- ■ Explain forex terminology and order types.
- ■ Read candlesticks and identify structure.
- ■ Mark support/resistance, supply/demand and liquidity areas.
- ■ Explain BOS, CHOCH, FVG and order blocks using consistent definitions.
- ■ Perform top-down analysis and form a conditional bias.
- ■ Calculate risk and position size using verified broker specifications.
- ■ Write entry, SL, TP and no-trade rules before entry.
- ■ Journal and backtest without hindsight changes.
- ■ Explain leverage, slippage, news volatility and loss limits.

RISK NOTICE

Forex and leveraged trading involve substantial risk and can lead to the loss of some or all trading capital. This guide is educational, not financial advice and does not promise profit. Practise on demo, verify instrument specifications with your broker, and never trade money you cannot afford to lose. Stop orders may execute at a different price during gaps or fast markets.

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